Econ 2 - Lecture 3 - 1/12/26

Lecture Quiz #1 Results Posted Later Today

Lecture Quiz #2 Released Wednesday, Due 1/21 (No class Monday)

Lecture Quiz / In-Class Question Link

This means, by the end of the term, if you have:

Answer more than 50% of the in-class questions and you answer	Answer less than 50% of the in-class questions and you answer	Your lecture quiz score will be
Greater than 40 lecture quiz questions correctly	Greater than 50 lecture quiz questions correctly	Full credit (10% out of 10%)
30 lecture quiz questions correctly	37.5 lecture quiz questions correctly	75% credit (7.5% out of 10%)
20 lecture quiz questions correctly	25 lecture quiz questions correctly	50% credit (5% out of 10%)
10 lecture quiz questions correctly	12.5 lecture quiz questions correctly	25% credit (2.5% out of 10%)

Discussion Activity #1: Video Guide Posted Today

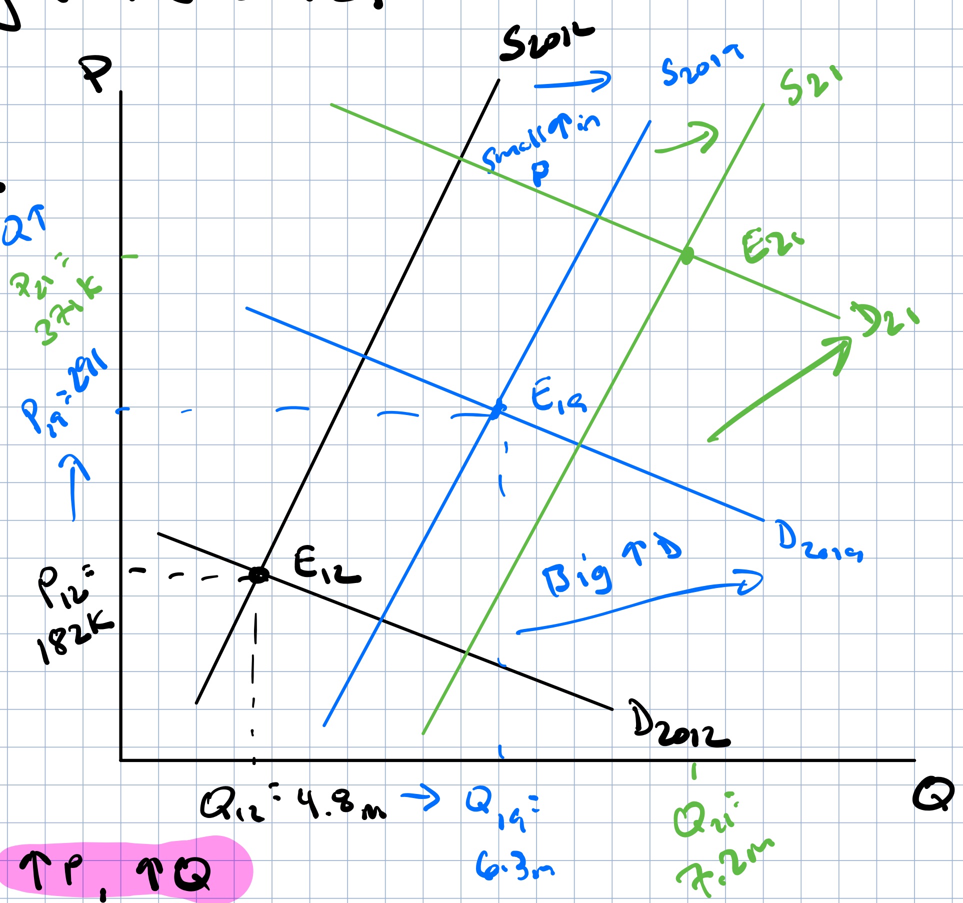
Go to Redfin Data Center, examine state-level data

Assess health of housing market, compare to AI

Housing Market Today (since 2012)

Year	P	Q
2012	182K	4.8M
2019	291K	6.3M
2021	371K	7.2M
2025	433K	5.5M

P↑ Q↑



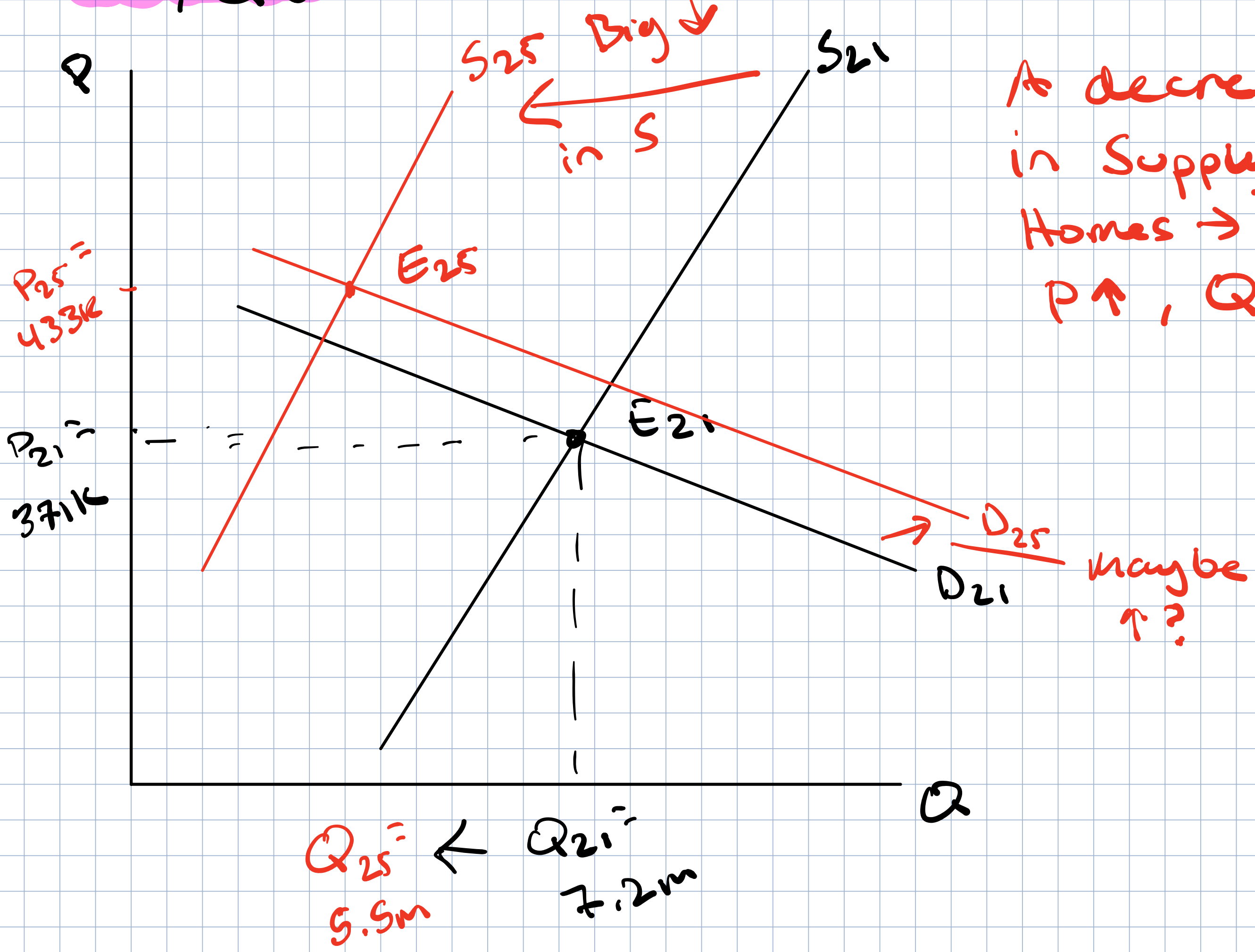
2012 → 2019:

Bigger increase in D
Smaller increase in S } ↑P, ↑Q

2019 → 2021: Same Patter

2021 to 2025 : P increased 371K → 433K
Q decreased 7.2m → 5.5m

$\underbrace{\text{2021 to 2025}}_{P\uparrow,\ Q\downarrow}$



A decrease in Supply of Homes → P↑, Q↓

2000s Bubble → Home buying ⇒ Speculative
↳ Bought just to resell

Interest Rates: Most homeowners are facing 4-5%
If they buy a new home / move → face ≈ 6-7%

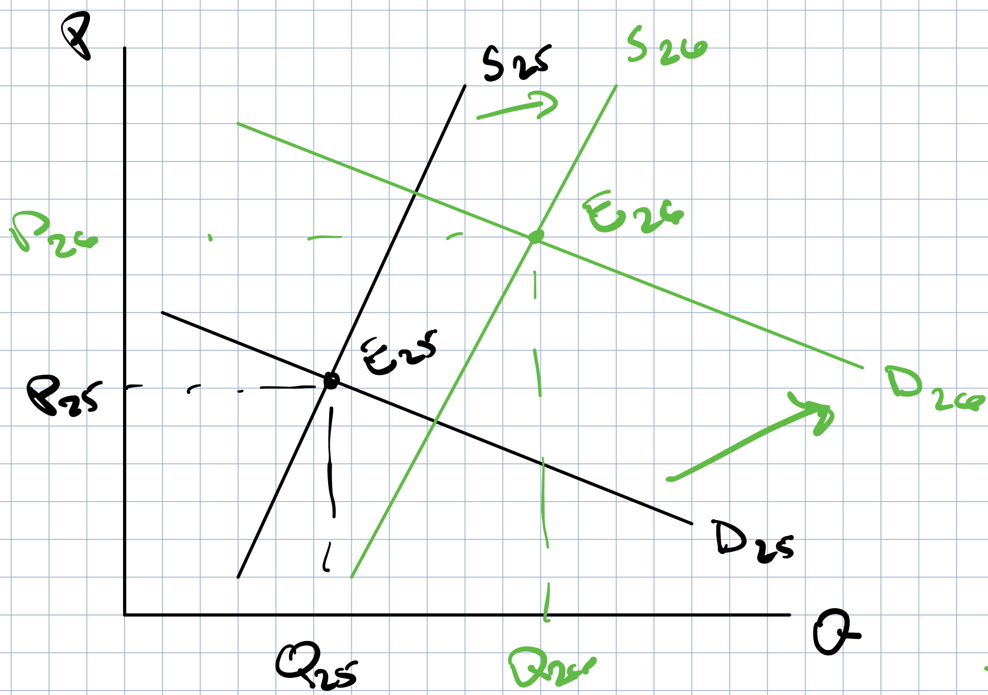
Incentive to move / sell → reduced

Reduction in inventory

What if we reduce interest rates → mortgage rates?

→ Willingness of homeowners to move → increase in S (only some)

→ Lots of buyers waiting for lower rates → ↑ in D



↓

P↑, Q↑

None of P↑ is speculative

→ Home prices are up & rising

→ But limited evidence of a bubble

Moving towards Macro

Assess the health of an economy

1. High standard of Living (economic growth)

Statistic: Gross Domestic Product (GDP)

2. Stable Prices

"Stable": federal Reserves target ~2% inflation

founded by NZ central Bank "2% by 92'"

Avoid hyperinflation: 2008 Zimbabwe

Inf. Rate = 89,700,000,000,000,000,000,001%

Currency Breakdown

3. Full Employment

Acceptable Unemployment → does not need to be 0%

Avoid 25% UE

Goal #1: High Standard of Living

Well-being?

Money/Income: Needs to be converted into Something → Home → food → safety

↪ ~~Greed~~? Mo Money = Mo Problems ✓

Standard Measure: Gross Domestic Product (GDP

Production!

GDP: the market value of all final goods and services produced for a marketplace during a given period of time, within a country's borders

Market Value: convert production to dollar amount

Final Goods/Services: count production bought by end-user

↙ household ↓ firm ↘ gov't

Best Buy: $400 computer → Production Process

Step 1: Raw materials mined, sold to parts mfg for $50

Step 2: Parts mfg convert materials into usable computer parts
Sell parts to Dell for $150

Step 3: Dell constructs a computer
sell to Best Buy for $350

Step 4: Best Buy central location to buy computer
Sell to consumer for $400

Value of all Separate Transactions = 50 + 150 + 350 + 400 = $950

$400 computer?

Intermediate Goods: goods used to create final product!

Avoid double counting ⇒ do not include intermediate goods